



APPLE INC.

EQUITY RESEARCH AND VALUATION MODEL

Investment Banking & Equity Research Project

PREPARED BY:
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DCF VALUATION

COMPARABLE ANALYSIS

FINANCIAL MODELLING

EQUITY RESEARCH

APPLE INC. - EQUITY RESEARCH DASHBOARD

All values in USD unless stated otherwise

CURRENT SHARE PRICE

\$308.80

TARGET PRICE

\$229.48

UPSIDE/DOWNSIDE

DOWNSIDE (25.6%)

RECOMMENDATION

HOLD / NEUTRAL

MARKET CAPITALIZATION (USD Tn)

\$4.63

ENTERPRISE VALUE (USD Bn)

\$4,690.00

52 Week HIGH/LOW

\$311.4 / \$193.46

BETA (vs S&P 500)

1.2

REVENUE GROWTH (USD BILLIONS)

Revenue (USD Bn)



EBITDA MARGIN (%)

EBITDA Margin (%)



KEY FINANCIAL METRICS

METRIC	FY2022	FY2023	FY2024	FY2025	FY2026E
Revenue (USD Bn)	\$394.30	\$383.30	\$391.00	\$416.20	\$437.01
EBITDA (USD Bn)	\$130.50	\$125.80	\$134.60	\$145.80	\$156.60
EBITDA Margin (%)	33.00%	32.00%	34.40%	34.70%	35.80%
Net Income (USD Bn)	\$33.00	\$96.90	\$93.70	\$112.00	\$120.00
EPS (USD)	\$6.12	\$6.13	\$6.08	\$7.46	\$8.10
Free Cash Flow (USD Bn)	\$111.40	\$99.10	\$108.80	\$98.80	\$107.50

VALUATION SUMMARY

VALUATION METHOD	IMPLIED PRICE(USD)	WEIGHT	WEIGHTED PRICE(USD)
DISCOUNTED CASH FLOW (DCF)	\$195.29	50%	\$97.65
COMPARABLE COMPANIES	\$274.64	30%	\$82.39
PRECEDENT TRANSACTIONS	\$247.19	20%	\$49.44
AVERAGE IMPLIED WEIGHTED PRICE			\$229.48

INVESTMENT THESIS

- Strong global brand and loyal customer ecosystem
- Growing high-margin Services business driving recurring revenue
- Strong free cash flow generation and continuous product innovation

KEY RISKS

- Weak consumer demand affecting hardware sales
- Regulatory and antitrust pressures on App Store and ecosystem
- Supply chain and geopolitical risks, especially related to China

APPLE INC. - HISTORICAL FINANCIAL STATEMENTS

(USD in Billions except per share data)

INCOME STATEMENT	FY2023A	FY2024A	FY2025A
REVENUE	383.20	391.00	416.10
COST OF GOODS	214.10	210.30	220.90
GROSS PROFIT	169.10	180.70	195.20
GROSS MARGIN	44.13%	46.21%	46.91%
RESEARCH AND DEVELOPMENT (R&D)	29.90	31.30	34.50
SELLING,GENERAL & ADMINISTRATIVE (SG&A)	24.90	26.00	27.60
OPERATING EXPENSE	54.80	57.30	62.10
OPERATING INCOME	114.30	123.40	133.10
OPERATING MARGIN	29.83%	31.56%	31.99%
OTHER INCOME/EXPENSE (NET)	0.50	0.20	0.30
PRE-TAX INCOME	113.80	123.20	132.80
PROVISION FOR INCOME TAXES	16.70	29.70	20.70
NET INCOME	97.10	93.50	112.10
NET MARGIN	25.34%	23.91%	26.94%
DILUTED EPS (USD)	6.14	6.07	7.47

BALANCE SHEET	FY2023A	FY2024A	FY2025A
CASH AND CASH EQUIVALENTS	29.90	29.90	35.90
ACCOUNTS RECEIVABLE	29.50	33.40	39.70
INVENTORY	6.30	7.28	5.70
OTHER CURRENT ASSETS	77.50	82.20	66.30
TOTAL CURRENT ASSETS	143.20	152.78	147.60
PROPERTY, PLANT & EQUIPMENT (PP&E)	43.70	45.60	49.80
MARKETABLE SECURTIES	100.50	91.40	77.70
OTHER NON CURRENT ASSETS	64.70	74.80	83.73
TOTAL ASSETS	352.10	364.58	358.83
TOTAL DEBT	105.00	96.60	90.60
ACCOUNTS PAYABLE	62.60	68.90	69.80
OTHER LIABILITES	122.50	142.20	124.70
TOTAL LIABILITIES	290.10	307.70	285.10
SHAREHOLDERS EQUITY	62.00	56.88	73.73
TOTAL LIABILITIES & SHAREHOLDERS EQUITY	352.10	364.58	358.83

	FY2023A	FY2024A	FY2025A
NET INCOME	96.90	93.70	112.00
DEPRECIATION & AMORTIZATION	11.50	11.40	11.60
STOCK BASED COMPENSATION	10.80	11.60	12.80
CHANGE IN WORKING CAPITAL	-6.50	3.60	-24.70
CASH FLOW FROM OPERATIONS (CFO)	110.50	118.20	111.40
CAPITAL EXPENDITURE (CAPEX)	-9.40	-10.90	-12.70
FREE CASH FLOW	101.10	107.30	98.70
INVESTING CASH FLOW	3.70	2.90	15.10
FINANCING CASH FLOW	-108.40	-121.90	-120.60
NET CHANGE IN CASH	5.80	-0.80	5.90
CASH AND CASH EQUIVALENTS (END OF YEAR)	30.70	29.90	35.90

APPLE INC. - SEGMENT ANALYSIS

(All figures in USD Billions)

HISTORICAL SEGMENT REVENUE(USD Bn)

SEGMENT	FY2023A	FY2024A	FY2025A
IPHONE	200.50	201.10	209.50
MAC	29.30	29.90	33.70
IPAD	28.30	26.60	28.00
WEARABLES, HOMES AND ACCESSORIES	39.80	37.00	35.60
SERVICES	85.20	96.10	109.10
TOTAL REVENUE	383.10	390.70	415.90

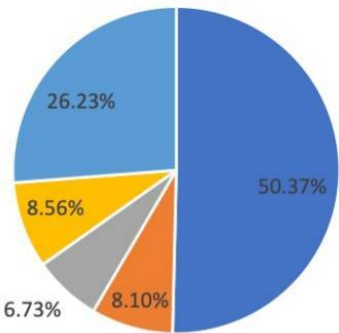
SEGMENT GROWTH RATES (%)

SEGMENT	FY2024 GROWTH	FY2025 GROWTH
IPHONE	0%	4%
MAC	2%	12%
IPAD	6%	5%
WEARABLES, HOMES AND ACCESSORIES	7%	4%
SERVICES	13%	14%

REVENUE MIX (% OF TOTAL REVENUE) - FY 2025

SEGMENT	FY2025 MIX
IPHONE	50.37%
MAC	8.10%
IPAD	6.73%
WEARABLES, HOMES AND ACCESSORIES	8.56%
SERVICES	26.23%
TOTAL	100.00%

FY2025 REVENUE MIX



■ IPHONE ■ MAC ■ IPAD ■ WEARABLES, HOMES AND ACCESSORIES ■ SERVICES

KEY INSIGHTS

- iPhone remains Apple's largest revenue contributor, accounting for over 50% of total revenue in FY2025.
- Services is the fastest-growing segment, supported by recurring subscription revenue, App Store monetization and ecosystem expansion.
- Wearables, Home & Accessories strengthens Apple's ecosystem and increases customer retention across devices.
- Apple continues to generate strong cash flow due to premium pricing, brand strength and operational efficiency.

APPLE INC. - KEY ASSUMPTIONS

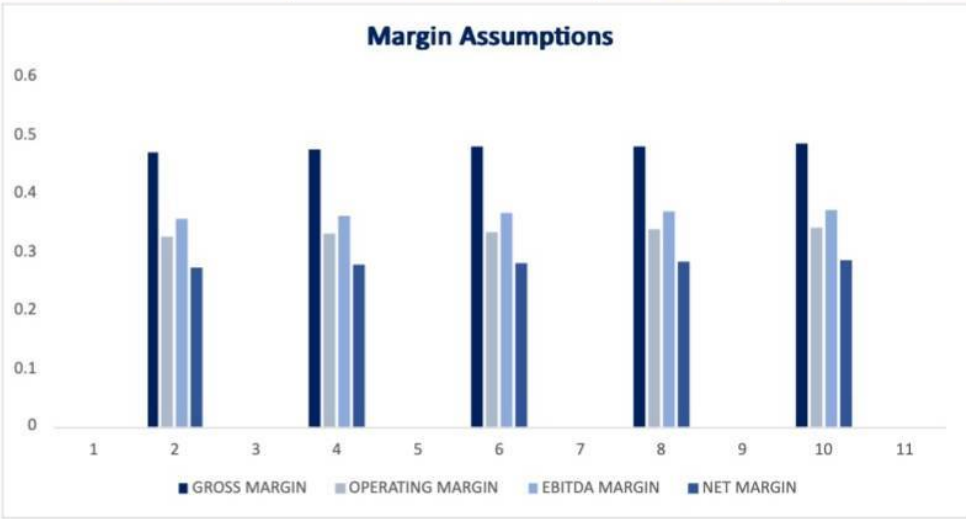
(All figures in USD except per share data)

	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
REVENUE ASSUMPTIONS					
REVENUE CAGR	5.00%	4.00%	4.00%	3.00%	3.00%
IPHONE GROWTH	5.00%	4.00%	4.00%	3.00%	2.00%
MAC GROWTH	6.00%	5.00%	4.00%	4.00%	3.00%
IPAD GROWTH	4.00%	3.00%	3.00%	2.00%	2.00%
WEARABLES GROWTH	8.00%	7.00%	7.00%	6.00%	5.00%
SERVICES GROWTH	12.00%	11.00%	10.00%	9.00%	9.00%

MARGIN ASSUMPTIONS					
GROSS MARGIN	47.00%	47.50%	48.00%	48.00%	48.50%
OPERATING MARGIN	32.50%	33.00%	33.30%	33.70%	34.00%
EBITDA MARGIN	35.50%	36.00%	36.50%	36.80%	37.00%
NET MARGIN	27.20%	27.60%	28.00%	28.30%	28.50%

OPERATING ASSUMPTIONS	
EFFECTIVE TAX RATE	16%
CAPEX% OF REVENUE	3%
DEPRECIATION AND AMORTIZATION% OF REVENUE	3%
WORKING CAPITAL% OF REVENUE	-3%

DCF ASSUMPTIONS	
RISK FREE RATE	4.30%
EQUITY RISK PREMIUM	5.50%
BETA	1.2
COST OF EQUITY(CAPM)	10.80%
COST OF DEBT	3.80%
TAX RATE (FOR WACC)	16%
WACC	8.00%
TERMINAL GROWTH RATE	3%



SCENARIO ANALYSIS
(For Sensitivity)

SCENARIO	REVENUE GROWTH (Long Term)	OPERATION MARGIN (Long Term)
BULL CASE	7%	34%
BASE CASE	5%	32%
BEAR CASE	3%	30%

APPLE INC. - DCF VALUATION

(All figures in USD Bn , except per share data)

1. FORECAST FREE CASH FLOW

YEAR	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
YEAR ENDING	Sep-26	Sep-27	Sep-28	Sep-29	Sep-30
FREE CASH FLOW	131.9	139	146.4	152.3	157.9

2. DISCOUNTING OF CASH FLOWS

YEAR	1	2	3	4	5
DISCOUNT FACTOR (8%)	0.93	0.86	0.79	0.74	0.68
PRESENT VALUE OF FCF	122.13	119.17	116.22	111.95	107.46

3. TERMINAL VALUE CALCULATION

FCF in FY2030E	157.9
FCF in FY2031E (FCF2030E*(1+g))	162.64
TERMINAL GROWTH RATE (g)	3.00%
WACC	8.00%
TERMINAL VALUE (TV)=FCF2031E/(WACC-g)	3252.74
DISCOUNT FACTOR FOR YEAR 5	0.68
PRESENT VALUE OF TERMINAL VALUE (PV OF TV)	2211.86

SUMMARY OF DCF RESULTS

ENTERPRISE VALUE (EV)	2788.79
EQUITY VALUE	2734.09
IMPLIED SHARE PRICE (USD)	195.29
CURRENT MARKET PRICE (USD)	308.8
UPSIDE/DOWNSIDE	-36.76%

4. ENTERPRISE VALUE

PV of FCF (2026E to 2030E)	576.93
PV of TERMINAL VALUE	2211.86
ENTERPRISE VALUE	2788.79

4. EQUITY VALUE

ENTERPRISE VALUE (EV)	2788.79
PLUS: CASH & CASH EQUIVALENTS(FY2025)	35.9
LESS: TOTAL DEBT (FY2025)	-90.6
EQUITY VALUE	2734.09

5. IMPLIED SHARE PRICE

EQUITY VALUE	2734.09
DILUTED SHARES OUTSTANDING (FY2030E)	14
IMPLIED SHARE PRICE (USD)	195.29

7. SENSITIVITY ANALYSIS - IMPLIED SHARE PRICE (USD)

WACC	TERMINAL RATE (g)					
	1.00%	2.00%	3.00%	4.00%	5.00%	
	7.00%	177	209	256	330	460
	7.50%	166	192	229	285	384
	8.00%	157	178	195	246	324
	8.50%	148	165	191	228	292
	9.50%	132	150	171	203	252

Implied Share Price vs. Current Market Price



APPLE INC. - PRECEDENT TRANSACTION ANALYSIS

(All figures in USD Bn , except per share data and multiples)

1. SELECTED PRECEDENT TRANSACTIONS

ANNOUNCED DATE	ACQUIRER	TARGET	TARGET BUSINESS DESCRIPTION	DEAL VALUE (USD)	EV/REVENUE (LTM)	EV/EBITDA (LTM)
Mar-24	Cisco Systems	Splunk Inc.	Data Analytics and Observability	28	6.7	31.1
Nov-23	Broadcom Inc.	VMware Inc.	Cloud Infrastructure and Software	69	5.1	20.9
Oct-23	Microsoft	Activision Blizzard	Video game developer and publisher	75.6	8.3	21.6
Feb-22	Advanced Micro Devices	Xilinx Inc.	FPGA and adaptive computing	49	15.6	61.8
Sep-16	Dell Technologies	EMC Corporation	Enterprise Storage and data solutions	67	2.7	14.2

2. TRANSACTION MULTIPLES SUMMARY

MULTIPLES	MEAN	MEDIAN	HIGH	LOW
EV/REVENUE (LTM)	7.68	6.7	15.8	37.7
EV/EBITDA (LTM)	29.92	21.6	2.7	12

SOURCE: SEC Filings, Company Reports, Public Market Data

NOTE: Multiples based on LTM financials as of deal announced date

3. APPLE IMPLIED VALUATION USING PRECEDENT TRANSACTION MULTIPLES

MULTIPLE	PEER AVERAGE (x)	APPLE METRIC (USD Bn)	IMPLIED EV (USD Bn)	NET DEBT (USD Bn)	IMPLIED EQUITY VALUE (USD Bn)	SHARES OUTSTANDING (Bn)	IMPLIED SHARE PRICE (USD)
EV/REVENUE	7.68	416.10	3195.65	54.70	3140.95	15.00	209.40
EV/EBITDA	29.92	144.70	4329.42	54.70	4274.72	15.00	284.98
AVERAGE IMPLIED SHARE PRICE (USD)							247.19

1. Net Debt = Total Debt(90.6) - Cash & Equivalents(35.9) = 54.7

2. Shares Outstanding = 15.00 Bn

5. IMPLIED SHARE PRICE RANGE

Implied Share Price (USD)

AVERAGE IMPLIED SHARE PRICE (USD)

247.19

EV/EBITDA

284.98

EV/REVENUE

209.40

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KEY TAKEAWAY

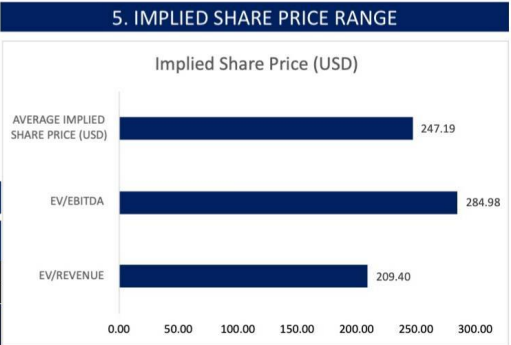
Using Precedent Transaction Analysis , the Average Implied Price of Apple Inc. is USD 247.19

CURRENT PRICE (USD)

\$308.80

UPSIDE/DOWNSIDE

-19.95%



RISK AND SCENARIO ANALYSIS

1. KEY INVESTMENT RISKS
• IPHONE DEPENDENCE More than 50% of revenue is derived from iPhone. A slowdown in upgrade cycles or weaker demand could materially impact growth. • SUPPLY CHAIN AND GEOPOLITICAL RISK Apple relies heavily on manufacturing partners in China, Taiwan, India and Vietnam. Trade restrictions, tariffs, geopolitical tensions, or supply chain disruptions could increase costs and delay production. • REGULATORY AND ANTITRUST RISK Apple faces increasing global regulatory scrutiny related to App Store policies, digital markets regulation and antitrust investigations, particularly in the U.S. and Europe. Regulatory changes could impact margins and services revenue. • AI AND COMPETITION RISK Intensifying competition from Microsoft, Google, Samsung and others in AI, cloud and ecosystem services could

2. SCENARIO ANALYSIS (IMPLIED SHARE PRICE)						
SCENARIO	REVENUE GROWTH (CAGR)	EBITDA MARGIN	WACC	TERMINAL GROWTH RATE	IMPLIED SHARE PRICE	UPSIDE/DOWNSIDE
BULL CASE	7.00%	34.00%	7.50%	3.50%	\$270.00	-12.56%
BASE CASE	5.00%	32.00%	8.00%	3.00%	\$195.00	-36.85%
BEAR CASE	3.00%	30.00%	8.50%	2.50%	\$140.00	-54.60%

• **CURRENT PRICE** - \$308.8

3. SENSITIVITY SUMMARY
• Valuation is most sensitive to WACC and terminal growth rate assumptions. • A 0.5% decrease in WACC can increase the implied share price by 10-15%. • A 0.5% increase in terminal growth can increase the implied share price by ~8-12%. • EBITDA margin expansion has a meaningful positive impact on intrinsic value.

FINAL INVESTMENT VIEW	
Based on our valuation analysis, we derive a target price of USD 229 , implying downside from the current market price. While Apple maintains strong fundamentals and robust cash flow generation , elevated valuation limits upside potential. Therefore, we maintain a Hold / Neutral rating on Apple Inc.	OVERALL VIEW :
	HOLD/NEUTRAL